# HR Internal Guidelines

NovaTech Solutions Pvt. Ltd.

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# 1. Purpose and Scope [ALL EMPLOYEES]

This document explains how the Human Resources (HR) team of NovaTech Solutions Pvt. Ltd. handles sensitive people matters: disciplinary action, investigations, confidential complaints, salary revisions, exceptions and exits. It is written mainly for HR team members.

Employees can read this section to understand why some HR matters are handled confidentially. Detailed procedures are available only to the people whose role needs them. Each main section of this document carries an access label in its heading, and the label decides who may read that section: all employees, managers and HR, or HR only.

## 1.1 What Employees Can Expect

- Every complaint or concern raised through HR is acknowledged and handled fairly.
- Your personal information is shared only with people who need it to resolve the matter.
- No employee is treated unfavourably for raising a concern in good faith.

## 1.2 Related Policies

This document works together with the Leave Policy, the Work From Home Policy, the Travel Policy, the Insurance Policy, the Employee Handbook and the Onboarding Guide. Where this document and a published policy differ, HR applies the published policy and informs the HR Head.

# 2. Confidentiality and Access Rules [HR ONLY]

## 2.1 Who May Read This Document

This document is classified Confidential. Full access is limited to HR team members. Two sections are shared with managers because managers have defined duties in disciplinary and salary matters. Only the sections labelled for all employees may be shared with the wider workforce.

## 2.2 Handling Rules for HR Staff

- Do not forward, print or copy HR-only content outside the HR team.
- Do not discuss individual cases in open offices, group chats or on calls with other people present.
- Store case files only in the restricted HR folder in the HRMS. Personal drives and email attachments are not allowed.
- Report any suspected leak to the HR Head within 1 working day.

## 2.3 Access Levels in the HRMS

| Role | Case files | Salary data | Complaint identity |
|---|---|---|---|
| HR Executive | Assigned cases only | View only for assigned employees | No access |
| HR Business Partner | Cases in own business unit | Own business unit | No access |
| Investigation Lead | Assigned investigations | No access | Full access for the case |
| HR Head | All cases | All employees | Full access |

## 3. Disciplinary Process [HR ONLY]

### 3.1 Stages of Action

Disciplinary action is progressive. HR may skip a stage only for serious misconduct, and only with written approval from the HR Head.

| Stage | Action | Who decides | Record kept for |
|---|---|---|---|
| Stage 1 | Documented verbal counselling | Manager with HR Business Partner | 1 year |
| Stage 2 | Written warning | HR Business Partner | 2 years |
| Stage 3 | Final written warning | HR Head | 3 years |
| Stage 4 | Suspension or termination | HR Head with Department Head | 7 years |

### 3.2 Show-Cause Notice

Before Stage 2 or higher, HR issues a show-cause notice that states the allegation, the date and the evidence reference. The employee has 5 working days to reply in writing. HR may extend this by up to 3 working days on a written request.

### 3.3 Timelines

- Show-cause notice issued within 3 working days of HR accepting the matter.
- Decision communicated within 7 working days of receiving the employee's reply.
- Appeal window for the employee is 10 working days from the date of the decision letter.

### 3.4 Suspension

An employee may be suspended with pay for up to 15 working days while an investigation is in progress, if their presence could affect evidence or safety. Any extension beyond 15 working days needs written approval from the HR Head.

## 4. Investigation Procedure [HR ONLY]

### 4.1 Starting an Investigation

HR logs the matter in the HRMS and acknowledges it within 2 working days. The HR Head appoints an Investigation Lead and decides whether a committee is needed. Serious matters go to a committee of 3 members, and at least one member must be from outside the employee's business unit.

### 4.2 Conflict of Interest

A person who reports to, manages or has a close personal relationship with anyone involved must not be part of the investigation. Investigators declare any conflict in writing before they start.

### 4.3 Steps

| Step | What happens | Target time |
|---|---|---|
| Intake | Matter logged, access restricted, Investigation Lead appointed | 2 working days |
| Evidence | Documents, emails and system logs collected and preserved | 5 working days |
| Interviews | Complainant, respondent and witnesses interviewed separately | 7 working days |
| Report | Findings and recommendation sent to the HR Head | 3 working days |

The full investigation should be closed within 15 working days. The HR Head may extend it by up to 10 working days, with the reason recorded in the HRMS.

### 4.4 Fair Process

- The respondent is told the allegation and given a chance to respond before any decision.
- Interview notes are signed by the person interviewed.
- Findings are based on evidence, not on the number of people who support one side.

## 5. Managers' Role in Disciplinary Cases [MANAGER AND HR ONLY]

### 5.1 What a Manager Must Do

- Report a suspected misconduct issue to the HR Business Partner within 2 working days of becoming aware of it.
- Write down the facts (dates, what was seen or heard, who was present) and add them to the confidential notes in the HRMS.
- Take part in Stage 1 counselling conversations together with HR.

### 5.2 What a Manager Must Not Do

- Do not run your own investigation or question witnesses.
- Do not apply informal punishments such as removing work, changing shifts or withholding leave.
- Do not discuss the matter with the team or with other managers.
- Do not contact the person who raised a complaint to ask about their reasons.

### 5.3 Support During a Case

The HR Business Partner is the single point of contact for managers during a case. Managers receive only the information they need to carry out their part, and the outcome of an investigation is shared with a manager only when it affects how they must manage the employee.

## 6. Handling Confidential Complaints [HR ONLY]

### 6.1 Channels

Complaints may come through the HR confidential mailbox, the anonymous web form or a direct meeting with an HR Business Partner. Anonymous complaints are accepted and reviewed, but HR may not be able to act on them if there is not enough detail to verify the facts.

### 6.2 Protecting Identity

- The name of the complainant is visible only to the HR Head and the Investigation Lead.
- Case files use a case number instead of names in all emails and reports.
- If identity must be shared to continue the case, HR first tells the complainant and records their response.

### 6.3 Protection from Retaliation

Retaliation against anyone who raises a concern in good faith, or who helps an investigation, is itself serious misconduct and is handled at Stage 3 or above. HR checks in with the complainant at 30 days and at 90 days after the case is closed, and records each check-in.

### 6.4 Priority Levels

| Priority | Examples | First response |
|---|---|---|
| Critical | Harassment, threat to safety, fraud | Within 1 working day |
| High | Discrimination, abuse of authority | Within 2 working days |
| Normal | Policy breach, conduct concern | Within 3 working days |

## 7. Salary Revision Guidelines [HR ONLY]

### 7.1 Cycle

The annual revision cycle runs from 1 February to 31 March. Revised salaries take effect from 1 April and appear in the April payroll. Employees who joined after 31 December are reviewed in the next cycle.

### 7.2 Increment Guide by Rating

| Performance rating | Increment range | Share of employees (target) |
|---|---|---|
| Outstanding | 12% to 15% | up to 10% |
| Exceeds expectations | 8% to 11% | about 25% |
| Meets expectations | 5% to 7% | about 55% |
| Needs improvement | 0% to 2% | about 10% |

### 7.3 Budget

The company-wide increment budget for the 2026 cycle is 7.5% of total fixed pay. Each business unit receives a pool equal to its share of fixed pay. A unit may not exceed its pool without written approval from the HR Head and the Finance Head.

### 7.4 Promotion Increments

A promotion increment is separate from the annual increment and is normally between 8% and 12%. If the new fixed pay would fall below the minimum of the new grade, HR raises it to that minimum.

## 8. Internal Salary Bands [HR ONLY]

The bands below are internal and must not be shared with employees or managers. Amounts are annual fixed pay in INR.

| Grade | Typical roles | Minimum (INR) | Midpoint (INR) | Maximum (INR) |
|---|---|---|---|---|
| G1 | Associate | 3,60,000 | 4,50,000 | 5,40,000 |
| G2 | Engineer, Analyst | 5,50,000 | 7,00,000 | 8,50,000 |
| G3 | Senior Engineer, Senior Analyst | 8,50,000 | 11,00,000 | 13,50,000 |
| G4 | Lead, Assistant Manager | 13,00,000 | 16,50,000 | 20,00,000 |
| G5 | Manager | 19,00,000 | 24,00,000 | 29,00,000 |
| G6 | Senior Manager, Department Head | 28,00,000 | 35,00,000 | 42,00,000 |

### 8.1 Position in Band

HR tracks each employee's compa-ratio, which is fixed pay divided by the band midpoint. A compa-ratio below 0.85 is flagged for review in the next cycle. A compa-ratio above 1.15 is flagged, and any increment above the guide needs HR Head approval.

### 8.2 New Joiners

Offers are made between the band minimum and the midpoint. An offer above the midpoint needs written approval from the HR Head.

## 9. Manager Inputs to Salary Revision [MANAGER AND HR ONLY]

### 9.1 What Managers Submit

- A rating and a proposed increment percentage for each team member, entered in the HRMS by 10 March.
- A short written reason for any proposed increment in the top or bottom range of the guide.
- Promotion recommendations with supporting examples of work at the next grade.

### 9.2 Team Pool

The average of the proposed increments across a team should stay within the team pool of 7.5%. If the average goes above the pool, the system flags the proposal and HR asks the manager to revise it.

### 9.3 Confidentiality

- Managers must not tell employees their proposed increment before the revision letters are released.
- Managers must not share other employees' ratings or increments.
- Salary bands are not shared with managers. Questions about band position go to the HR Business Partner.

## 10. Exceptions HR May Approve [HR ONLY]

### 10.1 Approval Limits

| Exception | HR Executive | HR Business Partner | HR Head |
|---|---|---|---|
| Waive joining bonus recovery | No | Up to INR 50,000 | Any amount |
| Notice period buyout or early release | No | Up to 15 days | Up to 30 days |
| Late submission of reimbursement claim | Up to 15 days late | Up to 30 days late | Any |
| Increment above the guide | No | No | Yes, up to 3 percentage points |

### 10.2 Rules for Every Exception

- The request, reason and approval are recorded in the HRMS before the exception takes effect.
- No exception may be approved by the person who benefits from it, or by their direct manager alone.
- HR reviews all exceptions every quarter and reports the total number and cost to the HR Head.

## 11. Exit and Final Settlement Handling [HR ONLY]

### 11.1 Resignation

HR confirms receipt of the resignation within 2 working days and records the last working day in line with the employee's contract. HR holds an exit conversation with the employee in the final week. Exit feedback is stored without the employee's name in reports to leadership.

### 11.2 Clearance Checklist

- Laptop, access card and other assets returned and checked by IT and Admin.
- System access removed by the last working day.
- Pending reimbursements settled or adjusted in the final settlement.
- Knowledge handover confirmed by the reporting manager in the HRMS.

### 11.3 Final Settlement

The final settlement is paid within 45 days of the last working day. It includes salary up to the last working day, leave encashment as set out in the Leave Policy, and any approved payments. Recoveries such as notice shortfall, unreturned assets or unrecovered advances are deducted and shown line by line in the settlement statement.

### 11.4 Exit After Disciplinary Action

For termination after a disciplinary process, the HR Head approves the settlement before it is shared. Employees terminated for serious misconduct are not eligible for exit benefits that depend on a clean record, and HR records the reason in the case file.

### 11.5 Documents Issued

| Document | Issued within |
|---|---|
| Relieving letter | 7 working days after clearance is complete |
| Experience letter | 7 working days after clearance is complete |
| Final settlement statement | With the final settlement payment |

## 12. Record Keeping and Retention [HR ONLY]

| Record | Kept for | Stored in |
|---|---|---|
| Personnel file | 7 years after exit | HRMS restricted folder |
| Disciplinary case file | 7 years after case closure | HRMS restricted folder |
| Confidential complaint file | 7 years after case closure | HRMS restricted folder |
| Salary revision records | 8 years | HRMS payroll module |
| Access logs for HR files | 2 years | HRMS audit log |

### 12.1 Disposal

After the retention period, HR deletes the records and keeps only a log that states the record type, the deletion date and the person who approved it. Records under a legal hold are not deleted until the hold is lifted in writing.

### 12.2 Audit

The HR Head reviews access logs every quarter. Any access to a file by a person who is not assigned to the case is investigated.

## 13. Frequently Asked Questions [HR ONLY]

### 13.1 Can an anonymous complaint start an investigation?

Yes, if it has enough detail to check the facts. HR logs it, reviews it within the response time for its priority level and records why it was or was not taken forward.

### 13.2 Can a manager give a written warning directly?

No. A manager takes part in Stage 1 counselling with HR. Written warnings come from the HR Business Partner and later stages from the HR Head.

### 13.3 Can an employee see their own case file?

An employee may ask HR for the allegation, the evidence relied on and the decision letter. The names of complainants and witnesses are removed.

### 13.4 What if the increment budget is exceeded?

The business unit must reduce proposals to its pool, or the HR Head and the Finance Head must approve the overage in writing.

### 13.5 How long does the final settlement take?

Within 45 days of the last working day. Delays must be reported to the HR Head with the reason.

### 13.6 Who can see the salary bands?

Only HR. They are not shared with employees or managers.

## 14. Who to Contact [ALL EMPLOYEES]

If you need to raise a concern, ask a question about a process or understand how your case is being handled, contact HR through any of these channels.

| Need | Contact |
|---|---|
| General HR questions | Your HR Business Partner |
| Confidential concern or complaint | HR confidential mailbox or the anonymous web form |
| Question about final settlement | HR Business Partner of your business unit |
| Escalation if you are not satisfied | HR Head |

HR will acknowledge a confidential concern within 2 working days.